SECTION A – 2 MARKS

Q1.

Human Resource Development (HRD) is a planned and continuous process of developing employees' knowledge, skills, abilities, attitudes and values so that they contribute effectively to organisational objectives and achieve personal growth. In simple words, HRD means improving the abilities and potential of employees for better performance.

Q2.

Potential appraisal is a systematic process of evaluating an employee's future capability, leadership qualities and competencies to take up higher-level responsibilities. It asks "what can the employee achieve?" and supports promotion, succession planning and career development.

Q3.

An **assessment centre** is a systematic method of evaluating employees' competencies through simulated job situations such as group discussion, role play, case study, presentation, psychometric tests and in-basket exercises. It is used for selection, promotion, potential appraisal and leadership development.

Q4.

1. **Performance appraisal:** The systematic assessment of an employee's performance against set standards, which also identifies training needs.
2. **Training and development:** Training improves skills for the present job; development prepares the employee for future roles.

Q5.

Organisational climate is the employees' shared perception of the present work environment, such as openness, trust, support, fairness and freedom. It is "how the organisation feels" to its members, and it can change faster than culture.

Q6.

A **learning style** is a person's preferred way of taking in and processing information while learning, such as visual, auditory, reading/writing or kinesthetic (learning by doing). Trainers should use a mix of methods rather than label employees by one style.

Q7.

Human resource accounting (HRA) is the process of identifying, measuring and reporting the cost and value of an organisation's human resources. It treats spending on recruitment, selection, induction, training and development as an investment in people (for example Rs. 40,000 per employee).

Q8.

An **HR audit** is a systematic review of an organisation's HR policies, systems and practices, such as recruitment, training, appraisal, compensation, employee relations and succession planning. It finds strengths, weaknesses and gaps and suggests improvements.

Q9.

Basis	Training	Development
Focus	Present job; specific skills	Future roles; broader capabilities
Duration	Usually short-term	Usually long-term

Q10.

A **balanced scorecard** is a performance management tool developed by Kaplan and Norton that measures an organisation's performance from four perspectives: financial, customer, internal business process, and learning and growth. In HRD it links people development to business results.

SECTION B – 5 MARKS

Q1.

1. **Personnel management (first stage):** The traditional, administrative stage; its focus was record keeping, wages, discipline and welfare, and its aim was to maintain employees.
2. **Human resource management (second stage):** The managerial stage; employees were seen as a resource to be managed and utilised for present performance.
3. **Human resource development (third stage):** The developmental stage; the focus is on developing the knowledge, skills, attitudes and potential of employees.
4. **Change in focus:** Administration (PM) → managing people (HRM) → developing people (HRD).
5. **Change in orientation:** Short-term maintenance (PM) → present performance (HRM) → long-term growth of the employee and the organisation (HRD).

Q2.

1. **Training and development:** Improves knowledge and skills for the present job and prepares employees for future roles.
2. **Performance and potential appraisal:** Performance appraisal evaluates present performance; potential appraisal identifies future capability for higher posts.
3. **Career planning and succession planning:** Maps the employee's career path and prepares employees to fill key positions in future.
4. **Employee counselling and feedback:** Helps employees with work-related and personal concerns and tells them how to improve.
5. **Rewards, recognition and organisation development:** Rewards encourage the desired performance, and OD builds a culture of openness, trust and teamwork.

Q3.

1. **Internal – personality and perception:** Personality decides how a person reacts to situations, and perception decides how they interpret events.
2. **Internal – attitude, motivation and values:** A positive attitude, strong motivation and values such as honesty and fairness lead to better behaviour.
3. **Internal – ability and learning:** The capacity to do the task and past experience shape how an employee behaves.
4. **External – leadership, culture and climate:** The leader's style and the organisation's culture and climate strongly influence how employees act.
5. **External – rewards, job design, group, policies and technology:** Rewards, the nature of the job, co-workers, fair policies, technology and the economic environment also shape behaviour.

Q4.

1. **Motivation and readiness:** People learn better when they have a reason to learn and are mentally and physically ready.
2. **Practice and active participation:** Repeated practice and taking part through cases, discussions and role plays make learning stronger than a lecture alone.
3. **Feedback and reinforcement:** Learners need to know what they did right and wrong, and behaviour that is rewarded is repeated.
4. **Meaningfulness and transfer:** Learning must be linked to real work and applied on the job; only then does performance improve.
5. **Maximising learning:** Set clear objectives, keep content relevant and difficulty right, give practice and repetition, a supportive environment, follow-up after training and evaluation of results.

Q5.

1. **Organisational analysis:** Study the organisation's goals, strategy, resources and climate to find where training is needed.
2. **Task (job) analysis:** Study each job to find the knowledge, skills and attitudes required to do it well.
3. **Person analysis:** Study each employee's present performance through appraisal, tests, interviews and observation.
4. **Identify the gap:** Compare the required standard with actual performance; the gap that is due to lack of skill is the training need.
5. **Prioritise and set objectives:** Rank the needs, decide who is to be trained, set clear training objectives and choose suitable programmes.

Q6.

(a) Outbound training

1. **Meaning:** Outbound training (OBT) is training conducted outside the workplace, usually outdoors, through adventure activities, games and group tasks.
2. **Activities:** Trekking, rafting, rock climbing, rope courses, treasure hunts and camping, followed by a discussion of the lessons learnt.
3. **Benefits:** It develops teamwork, leadership, trust, confidence, communication and problem-solving.

(b) Attitudinal training

4. **Meaning:** Attitudinal training aims to change the attitudes, beliefs and behaviour of employees towards work, colleagues, customers and change.
5. **Methods and benefits:** It uses role plays, sensitivity training, motivational talks and counselling, and builds a positive attitude, commitment, cooperation and customer orientation.

SECTION C – 10 MARKS

Q1.

Meaning and levels of HRD

1. **Definition:** HRD is a planned and continuous process of developing employees' knowledge, skills, abilities, attitudes and values for organisational objectives and personal growth.
2. **Macro-level HRD:** The development of human resources at the national or societal level, through government and social initiatives.
3. **Macro-level activities:** Education and skill development, vocational training, employment generation and digital literacy, leading to national economic development.
4. **Micro-level HRD:** The development of employees within an organisation, through company initiatives.
5. **Micro-level activities:** Training and development, performance appraisal, career planning, leadership development and counselling, leading to organisational effectiveness.

Qualities and competencies of an HRD professional

6. **Communication and interpersonal skills:** Explains clearly, listens and builds good relations at every level.
7. **Leadership, decision-making and problem-solving:** Guides people, takes sound decisions and handles problems calmly.
8. **Ethics, integrity and emotional intelligence:** Is fair and honest and understands people's feelings.
9. **Strategic thinking and change management:** Links HRD to business goals and helps the organisation accept change.
10. **Coaching, training and performance management:** Acts as trainer, coach, mentor, facilitator, counsellor, performance evaluator and change agent.

Q2.

HRD mechanisms

1. **Performance appraisal:** Assesses performance against standards and identifies strengths, gaps and training needs.
2. **Potential appraisal:** Assesses the capacity for future, higher roles. Example: can a good sales executive become a sales manager?
3. **Training and development:** Training builds present competence; development builds future capability.
4. **Feedback and counselling:** Specific, timely and constructive feedback; counselling aimed at improvement, not punishment.
5. **Career planning, job rotation, coaching and rewards:** Career paths, movement across departments, guidance from seniors and recognition of good work.

Role of organisational climate and culture

6. **Meaning:** Climate is how the organisation feels to employees now; culture is the deeper values, beliefs and norms that explain why it behaves that way.
7. **HRD climate:** The employees' perception that the organisation supports learning, openness, trust and growth; it is built by top management support, fair personnel policies and line manager support.
8. **OCTAPAC culture:** Openness, Confrontation, Trust, Autonomy, Proactivity, Authenticity and Collaboration create a developmental culture.
9. **Positive climate:** Encourages learning, innovation, initiative, cooperation, motivation, communication and commitment.
10. **Negative climate:** Causes fear, resistance to change, low motivation, poor communication and turnover, so HRD efforts fail.

Q3.

Developing human capacity

1. **Meaning:** Developing human capacity means building the aptitude, knowledge, values and human relations skills of employees so that they can perform and grow.
2. **Aptitude:** A person's natural ability to learn and do a kind of work; recruitment should test customer handling, teamwork, adaptability and problem-solving, not only qualifications.
3. **Knowledge:** Product, process and system knowledge (for example CRM training) that employees must know and apply on the job.
4. **Values:** Integrity, honesty, fairness, accountability and customer orientation, built through ethics workshops so that targets are not met by unethical means.
5. **Skills of human relations:** Communication, listening, empathy, teamwork, negotiation, conflict resolution and emotional intelligence.
6. **Responsiveness, loyalty and transparency:** Ownership without fear of blame; recognition, career growth and mentoring for commitment; clear appraisal, promotion and reward rules for trust.

Leadership development

7. **Meaning:** The planned process of building leadership qualities such as decision-making, communication, team handling and strategic thinking, to prepare employees for managerial roles.
8. **Need:** Without it, few employees are ready to be promoted and managers must be hired from outside.
9. **Methods:** Leadership training, coaching, mentoring, job rotation, challenging assignments and leadership projects.
10. **Benefits:** A pipeline of future leaders, more internal promotions, higher motivation and better retention. Example: internal promotions rose from 18% to 31% at a retail company after an HRD programme.

Q4.

Tools for evaluating HRD

1. **Human resource accounting (HRA):** Measures the investment in people. Example: recruitment Rs. 8,000 + selection Rs. 4,000 + induction Rs. 5,000 + training Rs. 15,000 + development Rs. 8,000 = Rs. 40,000 per employee.
2. **Uses of HRA:** It shows the value of human assets, the return on training and the cost of losing trained staff.
3. **HR audit:** A systematic review of recruitment and selection, training, appraisal, compensation, employee relations, succession planning and HR records.
4. **Findings of an audit:** It shows weak areas such as poor recruitment, no training evaluation, unclear promotion criteria and no grievance tracking.
5. **Benchmarking:** Comparing HR results with past figures or with the best organisations. Example: turnover 24% → 17%, complaint resolution 72 → 38 hours, training hours 6 → 18 per employee.
6. **Impact assessment:** Evaluation at four levels: learning (knowledge scores 58% → 86%), behaviour, performance and business results.

Impact of HRD on the bottom line

7. **Higher productivity and quality:** Skilled employees produce more and make fewer mistakes, which raises output and cuts cost.
8. **Lower turnover and absenteeism:** Development, recognition and career growth keep employees, which saves hiring and training costs.
9. **Better customer satisfaction and sales:** Satisfaction rose from 76% to 84%, which improves revenue, customer retention and profit.
10. **Return on investment:** ROI = (Benefit − Cost) ÷ Cost × 100 = (18 lakh − 12 lakh) ÷ 12 lakh × 100 = **50%**, besides non-financial gains like teamwork, leadership and culture.